

The best way for average households to invest for short-, medium- and long-term goals, mutual funds have an array of product types. Not just equity, funds invest also in debt and gold. **You are doing OK if ...**

1. you understand that you can invest in debt, equity and gold through mutual funds;
2. you understand that managed funds cost more, carry more risk, but also can give higher returns;
3. you understand that the lowest cost and safest way to get an equity exposure is to use index funds or ETFs that track the Sensex or Nifty50;
4. you understand that churning your mutual fund portfolio benefits the seller and not you and, therefore, you should choose carefully and stay invested for years.